Capex Faith Tested

S&P −0.51% as the OpenAI revenue miss spreads through the chip sleeve. NVDA reverses Monday's record. PCAR −5.97% on Q1 revenue. UAE quits OPEC.

THE SESSION

The capex faith that lifted Monday's tape to records was tested before it could be confirmed. A Wall Street Journal report that OpenAI fell short of internal weekly-user and revenue targets in 2026 — and that the company's CFO has privately questioned whether revenue will support future compute commitments — landed in a market that had just spent eighteen sessions bidding the semiconductor complex to fresh highs. The reaction was immediate. The S&P 500 closed at 7,139 (−0.48%), the Nasdaq fell 0.89%, and the Russell 2000 led the decline at −1.15%. NVDA reversed Monday's record with a 1.63% loss, AMD extended Monday's downgrade reaction with another 3.41% decline, and CRDO, which had already given back 7.45% on Monday, sold off another 8.08% to $165.92. TSM, MRVL, NXPI, and KEYS each lost more than three percent.

The selling was orderly. The VIX actually compressed 1.17% to 17.81 — this was a positioning unwind in the AI-infrastructure sleeve, not a regime change in volatility. The pattern resolves the exact thesis Monday's brief identified: capex faith was being repriced into individual names, and the OpenAI headline gave the market the catalyst to do that repricing in size. The dispersion that opened yesterday is now a confirmed rotation, and Wednesday's back-to-back hyperscaler prints — MSFT, GOOGL, META — will define whether the AI multiple holds or compresses further.

Energy carried the opposite tape. WTI crude crossed $100 for the first time since April 10 as the Iran proposal stalled in Washington and the United Arab Emirates announced its withdrawal from OPEC and OPEC+ effective May 1 — a structural shift that frees the cartel's third-largest producer to expand capacity beyond its previous 3.2 million barrels per day quota. CTRA led the dividend sleeve at +2.85%, with CVX gaining 1.94%, OKE adding 2.32% ahead of tonight's print, and VLO holding at +0.85%. The refining-margin thesis that anchors VLO and the integrated case for CVX both extended. NEE gained 1.77% on the NRC's subsequent license renewal for both St. Lucie units, extending operations through 2056 and 2063 respectively.

Consumer Confidence printed 92.8 in April against a 89.0 consensus — the third consecutive monthly gain and the highest read of the year — supported by an improved labor-market differential. The data did not move the FOMC calculus into tomorrow's decision. Powell is widely expected to hold and the press-conference subtext will be the May 15 Powell-Warsh transition rather than the data path.

IOWN Tactical: a tape that compresses the AI sleeve while bidding the energy sleeve is communicating a healthy rotation, not a failed thesis. Monday's dispersion has now broadened into a confirmed repricing, and the hyperscaler capex commitments Wednesday will tell us whether the AI infrastructure case stays intact or earns further compression.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

CTRA +2.85% DIVIDEND STRATEGY

Energy bid as WTI crossed $100 for the first time in over two weeks. UAE's OPEC exit and the stalled Iran proposal lift the structural revenue case for the Permian gathering business. Closed at $34.63.

OKE +2.32% GROWTH PORTFOLIO

Midstream lifted into tonight's Q1 print, with the Permian gathering commentary the read-across to CTRA and CVX. Closed at $89.79.

CVX +1.94% GROWTH PORTFOLIO

Integrated energy bid as Brent and WTI both firmed on the Iran impasse. Refining margins remain well above pre-conflict baselines per Morgan Stanley. Closed at $188.36.

NEE +1.77% DIVIDEND STRATEGY

NRC authorized subsequent license renewal for St. Lucie Nuclear Plant Units 1 and 2, extending operations through 2056 and 2063 respectively. Adds two decades of regulated nuclear earnings to the FPL base. Closed at $96.51.

CL +1.78% DIVIDEND STRATEGY

Defensive bid as the broader tape sold the AI sleeve. Shell CEO's warning on extended energy shortages reinforced the input-cost narrative the consumer-staples complex carries. Closed at $85.67.

DECLINERS

CRDO –8.08% GROWTH PORTFOLIO

Second consecutive seven-plus-percent decline as the OpenAI revenue miss extends the AI-infrastructure selloff that began Friday. The connectivity-silicon narrative is now positioned for Wednesday's hyperscaler capex confirmation. Closed at $165.92.

PCAR –5.97% DIVIDEND STRATEGY

Q1 revenue of $6.78B fell short of the $6.82B consensus and represented an 8.9% year-over-year decline. EPS of $1.15 was in line with consensus. Adjusted revenue of $6.23B missed the $6.35B Zacks estimate. Production backlog is increasing per CEO Preston Feight. Closed at $119.61.

AEM –4.49% GROWTH PORTFOLIO

Gold compressed 1.78% as risk capital rotated toward the energy sleeve and away from the precious-metals complex. The pattern is consistent with a positioning unwind, not a thesis change. Closed at $189.23.

AMD –3.41% GROWTH PORTFOLIO

Continued the Northland downgrade reaction from Monday, now compounded by the OpenAI revenue headline that hits names with direct OpenAI supply commitments. Closed at $323.21.

NVDA –1.63% GROWTH PORTFOLIO

Reversed Monday's record close after the OpenAI report, with the company's $30B investment in OpenAI's last funding round now under fresh scrutiny. Down from Monday's $216.61 ATH to $213.07.

HOLDINGS NEWS

PCAR Q1 2026 results. Revenue $6.78B (vs. $6.82B consensus, −8.9% YoY); EPS $1.15 in line with the $1.16 estimate. Operating margin expanded to 16.3% from 10.3% in the year-ago quarter; free cash flow margin of 12.2%. Parts delivered $1.71B revenue and $402.3M pretax income. Financial Services generated $115.5M pretax income on a $22.3B portfolio. CEO Preston Feight cited an increasing production backlog. The market's 5.97% reaction reflects the revenue miss against a tape that is selectively penalizing any cyclical name showing year-over-year contraction.

NEE — St. Lucie subsequent license renewal. The NRC authorized FPL to operate Unit 1 through 2056 and Unit 2 through 2063 — a twenty-year extension beyond the prior 2036 and 2043 expirations. The plant supplies roughly 11% of FPL's generation and powers more than one million homes. The renewal joins the Turkey Point and Point Beach extensions in NEE's portfolio of subsequently renewed reactors and adds two decades of regulated nuclear earnings to the FPL base.

Tonight's post-close prints. EIX, HOOD, NXPI, and OKE all report after the bell, with EIX particularly consequential given the wildfire-liability disclosure path and HOOD providing the cleanest read on retail engagement post-Q1 rebalance. NXPI's commentary on auto and industrial end-markets carries direct read-across to ADI and TEL. OKE's Permian gathering volumes will inform the CTRA and CVX commentary into Wednesday.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+0.13%

vs. DVY +0.63% | SPY –0.51%

GROWTH PORTFOLIO ✗ TRAIL

–1.92%

vs. IUSG –0.95%

YEAR-TO-DATE

Dividend +11.21% vs DVY +8.67% / SPY +4.34%
Growth +3.56% vs IUSG +5.25%